

Buy
(Initiation)

Valuation: DDM on scenario dividends FY26F-FY30F + Gordon terminal (CoE, not WACC)

Last Price (Rp)	3,140
Target Price (Rp)	3,960
Previous TP (Rp)	NA
Upside/Downside (%)	+26.1%
Shares Outstanding (mn)	150,671.2
Market Cap (Rp bn / US\$ mn)	473,107.5 / 26,523.5
3M Avg Daily T/O (Rp bn / US\$ mn)	659.8 / 37.0
Free Float (%)	46.8%

Major Shareholders (%)

PT Danantara Asset Management	52.7%
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Exhibit 1. BBRI relative to the JCI (24 months, Sep-24 to Sep-26)

Price return to 2026-09-23: BBRI -42.0%, JCI -18.0%.
Difference -24.0 percentage points



Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates

Sektoral Research Team
Equity Analyst

**PT Bank Rakyat Indonesia (Persero)
Tbk (BBRI IJ)**

FY26F earnings scenario above the latest annual actual

- 1H26 revenue rose 5.4% yoy to Rp107,923.5bn.
- FY26F scenario: revenue Rp222,048.0bn and net profit Rp62,236.4bn; analyst assumptions, not company guidance.
- Buy: Target Price Rp3,960 (26.1%) from DDM: FY26F-FY30F dividends, payout within the model's capital limit, CoE 10.9%.

Latest results set the starting point

BBRI published 1H26 results on 2026-08-31. 1H26 revenue rose 5.4% yoy to Rp107,923.5bn. 1H26 net profit rose 17.5% yoy to Rp31,182.6bn. 1H profit equals 49.6% of our FY26F net profit estimate.

Scenario assumptions and their limits

Second-half assumptions: gross loan growth of 9.0% for the year, H2 NIM 7.5%, non-interest income 34.0% of NII, cost-to-income ratio 42.0% and cost of credit 3.1%; the model derives NII, provisions, profit, equity and CAR from these drivers. All figures are analyst assumptions, not issuer guidance. Model FY26F net profit is Rp62,236.4bn. The bank driver model takes net profit to Rp83,619.2bn in FY30F with NIM of 7.3%, cost of credit of 2.9% and ROE of 18.9%; screening CAR 20.0%. Since the 2026-08-31 release the stock is down 1.8% (JCI down 2.3%); the FY26F scenario DPS of Rp289 per share is an indicative dividend yield of 9.2% at the closing price stated in this report.

Target Price based on DDM

We set the Target Price at Rp3,960 using DDM, the Primary Method for banks: FY26F-FY30F scenario parent profit; scenario payout FY26F-FY30F 70.0%/60.0%/60.0%/60.0%/60.0%; terminal payout 60.0%. DPS of Rp289 to Rp333 is discounted at a CoE of 10.9% (not WACC) to 2026-06-30; the Gordon terminal value at g 3.5% is 71.8% of value. At CoE +1pp and g 2.5% the value is Rp3,220. The target implies a FY26F-FY28F net profit CAGR of 8.2%, supported by a revenue CAGR of 7.5% and a net profit margin moving from 28.0% to 28.4%. Nearest positive catalyst: Completion of Rp90.37 billion buyback programme. At the Target Price the stock trades on a FY26F PER of 9.6x (current price 7.6x), against a peer median of 7.6x and a historical P/E band mean of 8.8x. Key risks: Rising funding cost pressure, MSME loan asset quality and CAR decline from loan expansion.

Exhibit 2. Key Financials

FY to 31 Dec	2024A	2025A	FY26F	FY27F	FY28F
Revenue (Rp bn)	199,665.7	181,304.3	222,048.0	236,350.4	256,791.5
Net profit (Rp bn)	60,154.9	56,652.4	62,236.4	65,774.0	72,876.2
EPS (Rp)	399	376	413	437	484
EPS growth (%)	0.1%	(5.8%)	9.9%	5.7%	10.8%
BVPS (Rp)	2,103	2,196	2,218	2,365	2,587
ROE (%)	19.0%	17.5%	18.5%	18.6%	19.1%
DPS (Rp)	n.m.	n.m.	289	262	290
PER (x)	10.2x	9.7x	7.6x	7.2x	6.5x
PBV (x)	1.9x	1.7x	1.4x	1.3x	1.2x

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

n.m. in DPS (Rp) (actual columns): Sectors data records dividends by ex-date, not by financial year.

The FY26F scenario combines official interim results with second-half assumptions.

Scenario revenue FY26F vs 2025
(reporting currency)

Model FY26F net profit is Rp62,236.4bn; net margin 28.3%.

Net margin FY26F

The Target Price is calculated with scenario dividend DDM FY26F-FY30F + Gordon terminal (CoE, not WACC) and the scenario in the table.

To target Rp3,960

Question	Model answer
What changed	Rating Buy (Initiation); latest official actuals 1H26 (published 2026-08-31).
Model expectation	Parent profit FY26F Rp62,236.4bn, FY27F Rp65,774.0bn, FY28F Rp72,876.2bn.
What must happen	Cost of credit 3.1/3/2.9/2.9/2.9% (Analyst Assumption / issuer guidance); Loan growth 9/9/8.5/8/8% (Analyst Assumption / issuer guidance); Cost-to-income ratio 42/42/42/42/42% (Analyst Assumption / issuer guidance).
What the price implies	The Rp3,140 price equals any one of: Cost of credit up 98.8 bp, read linearly from the tested range; implied discount rate 12.9%.
What would prove it wrong	The Buy rating changes if Cost of credit up 42.3 bp (value Rp3,611, rating becomes Hold); or Loan growth down 3.1 pp (value Rp3,611, rating becomes Hold)
Next catalyst	9M26 report (OJK deadline 2026-10-31): compare parent profit, volumes and margins with the model path; Strong 1H26 deposit growth extends into H2 (2H26 (forecast)).
Status and limits	Report Date 2026-09-24; price 2026-09-24; status distributable_assumption_led; method DDM on scenario dividends FY26F-FY30F + Gordon terminal (CoE, not WACC); key limitation: forward drivers (loan growth, NIM, non-interest income, CIR, cost of credit) are management guidance for the first year and labelled Analyst Assumptions after it.

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

BBRI published 1H26 results on 2026-08-31. 1H26 revenue rose 5.4% yoy to Rp107,923.5bn. 1H26 net profit rose 17.5% yoy to Rp31,182.6bn.

Second-half assumptions: gross loan growth of 9.0% for the year, H2 NIM 7.5%, non-interest income 34.0% of NII, cost-to-income ratio 42.0% and cost of credit 3.1%; the model derives NII, provisions, profit, equity and CAR from these drivers. All figures are analyst assumptions, not issuer guidance.

Metric	1H25	1H26	yoy
Revenue (Rp bn)	102,376.3	107,923.5	5.4%
Net profit (Rp bn)	26,533.1	31,182.6	17.5%

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Ratio	1H25	1H26
Net profit margin	25.9%	28.9%

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

The FY26F model combines official interim results with analyst assumptions. Scenario revenue is Rp222,048.0bn; net profit Rp62,236.4bn. Driver detail, annual results and evidence limits are in the scenario exhibits; model figures are not company guidance.

Exhibit 6. Interim balance sheet

Metric	2026-06-30
Cash (Rp bn)	-
Interest-bearing borrowings (Rp bn)	-
Total equity (Rp bn)	-
Non-controlling interests (Rp bn)	-
Shares outstanding used in the model (juta)	150,671.2
Shares issued (juta)	-

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

4. Industry and sentiment

The Banks group has 9 peers with a combined market capitalisation of Rp1,589.4tn; peer market capitalisation is down 14.9% over the year (capitalisation-weighted). BBRI's market capitalisation is down 17.1%; this change also reflects changes in the share count and does not measure share price return.

BBRI's ROE is 17.1% against a peer median of 11.8%, with a net margin of 31.2% (peer median 39.0%); the gap explains its valuation relative to peers, not a measured industry trend.

Market sentiment: since 2025-09-24, BBRI shares are down 23.5% while the IHSG is down 21.6%; foreign investors were net buyers of Rp95.9bn from 2026-06-26 to 2026-09-22. These figures are market context, not a basis for the Target Price.

Exhibit 7. Sub-sector conditions, Banks: peers vs BBRI

Metric	Peers (9 issuers, excl. BBRI)	BBRI
Market cap (Rp tn)	1,589.4	495.1
1-year market cap change	(14.9%)	(17.1%)
P/E (median peer 0-50x)	7.6x	7.9x
P/B (median peer 0-10x)	1.4x	1.5x
ROE (median)	11.8%	17.1%
Net profit margin (median)	39.0%	31.2%
Liabilities/equity (median)	5.4x	5.5x

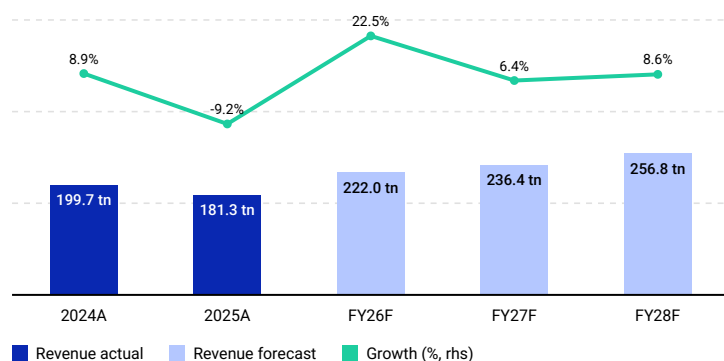
Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

5. Financial performance and profitability

The four charts below use the same 2024A-FY28F period as Key Financials; forecasts appear only when the scenario is validated.

Exhibit 8. Revenue and growth (2024A-FY28F)

Revenue (Rp) & growth

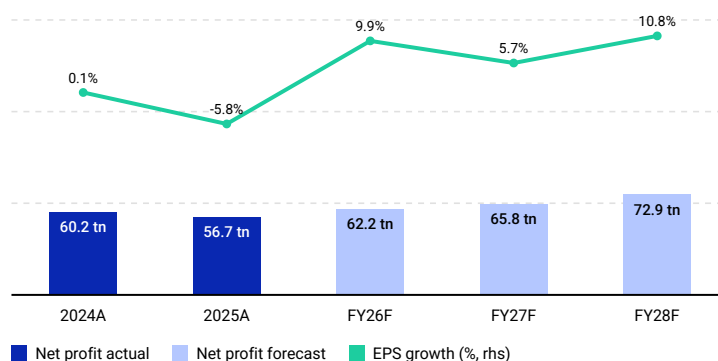


Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Revenue grew at a CAGR of 4.4% over 2021-2025 and was down 9.2% in 2025A; the FY26F-FY28F scenario gives a CAGR of 7.5%, in line with the historical pace.

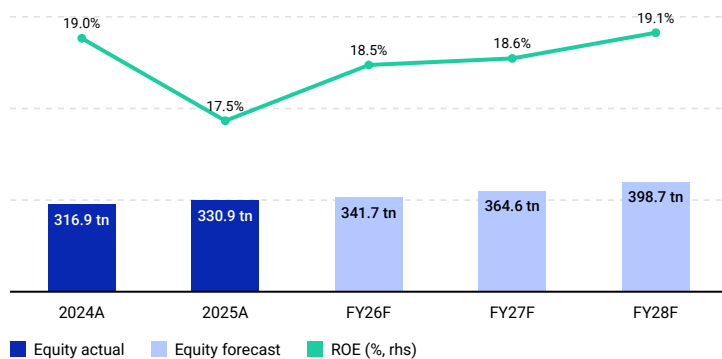
Exhibit 9. Net profit and EPS growth (2024A-FY28F)

Net profit (Rp) & EPS growth



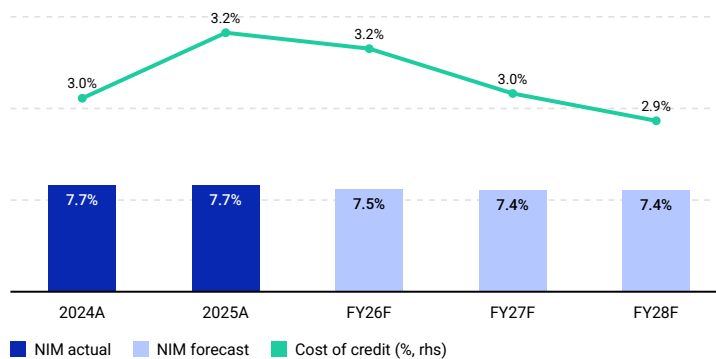
Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

2025A net profit was down 5.8% against revenue down 9.2%. Over FY26F-FY28F net profit grows at a CAGR of 8.2% against 7.5% for revenue.

Exhibit 10. Equity and ROE (2024A-FY28F)**Equity (Rp) & ROE**

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

2025A equity was Rp330.9tn with an ROE of 17.5%; the scenario takes equity to Rp398.7tn and ROE to 19.1% in FY28F, with a payout of 70.0% of profit.

Exhibit 11. NIM and cost of credit (2024A-FY28F)**NIM (%) & cost of credit**

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

2025A NIM was 7.7% with a cost of credit of 3.2%; both are the main drivers of bank earnings, not leverage. The bank driver model takes NIM to 7.4% and the cost of credit to 2.9% in FY28F.

6. Catalysts, risks and ownership

Catalysts and risks are selected by their effect on volume, realised prices, costs and the balance sheet; ownership and foreign flows are shown as market context.

The largest shareholder is PT Danantara Asset Management with 52.7% of shares.

Foreign investors recorded net buying of Rp653.7bn over the last 20 sessions, against net buying of Rp95.9bn over the full data window.

Exhibit 12. Catalysts, risks and monitoring indicators

Catalyst / risk	Timing and evidence	Driver and transmission	Direction	Model driver	Thesis-change threshold
Completion of Rp90.37 billion buyback programme	11 September 2026 (completed). Source: Berita BBRI Terkini dan Terbaru Hari Ini Bisnis.com (2026-09-23); Buyback Rampung, Saham BRI (BBRI) Melesat 16% - Market (2026-09-16)	Capital → treasury shares → equity slightly lower → ROE rises moderately	Positive	Non-interest income / NII (34/34/34/34/34%)	Non-interest income / NII down 7.2 pp (rating becomes Hold)
Strong 1H26 deposit growth extends into H2	2H26 (forecast). Source: PT Bank Rakyat Indonesia (Persero) Tbk Laporan Keuangan Konsolidasian 30 Juni 2026	Third-party funds rise → strong funding base → H2 loan expansion → NII grows	Positive	Loan growth (9/9/8.5/8/8%)	Loan growth down 3.1 pp (rating becomes Hold)
1H26 profit grows 17.5% yoy above NII 9.9%	1H26 (already reported). Source: PT Bank Rakyat Indonesia (Persero) Tbk Laporan Keuangan Konsolidasian 30 Juni 2026	Cost efficiency → CIR maintained → profit margin rises → positive earnings	Positive	Cost-to-income ratio (42/42/42/42/42%)	Cost-to-income ratio up 3.1 pp (rating becomes Hold)
Foreign net sell of Rp339.4 billion on 22 September	22 September 2026. Source: Outflow dana asing Rp671.63bn, BBRI top net sell IDNFinancials (2026-09-22)	Market sentiment → stock valuation → multiple compression → valuation impact	Negative	not linked to a driver in the driver-to-value table	The Buy rating changes if value below Rp3,611 becomes Hold
Cost of credit rises gradually to 3.10% in H2	2H26 (forecast). Source: PT Bank Rakyat Indonesia (Persero) Tbk Laporan Keuangan Konsolidasian 30 Juni 2026	Provisions rise → profit under pressure → earnings/share falls	Negative	Cost of credit (3.1/3/2.9/2.9/2.9%)	Cost of credit up 42.3 bp (rating becomes Hold)

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Key risks**Rising funding cost pressure (funding)**

FY2025 CoF is already at 3.51%, up from 2.91% in 2023, and may continue to pressure NIM if the trend persists; CASA deposits of 70.61% could be eroded by demand deposit competition and higher market interest rates.

Source: PT Bank Rakyat Indonesia (Persero) Tbk Laporan Keuangan Konsolidasian 30 Juni 2026

MSME loan asset quality (operations)

1H26 cost of credit of 3.02% is already above the 3-year average of 2.93% and approaching the upper limit; post-pandemic MSME restructuring and inflationary pressure could push NPLs higher, weighing on provisions and profit.

Source: PT Bank Rakyat Indonesia (Persero) Tbk Laporan Keuangan Konsolidasian 30 Juni 2026

CAR fell from 27.27% (2023) to 21.07% (2025) amid aggressive expansion; FY2026 loan growth of 10% with a 92% payout could further dilute CAR, limiting growth room.

Source: PT Bank Rakyat Indonesia (Persero) Tbk Laporan Keuangan Konsolidasian 30 Juni 2026

The MSME segment dominates BRI's loan book; real sector stress or natural disasters could pressure collectibility, push up MSME NPLs, and add to provision burden above the 3.10% scenario.

Source: PT Bank Rakyat Indonesia (Persero) Tbk Laporan Keuangan Konsolidasian 30 Juni 2026

Shareholder	Ownership (%)
PT Danantara Asset Management	52.7
Public	46.8
Treasury Stock	0.6
Viviana Dyah Ayu Retno Kumalasari	0.0
Kartika Wirjoatmodjo	0.0

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Metric	Value	Period
Net foreign flow, last 20 sessions	Rp653.7bn	2026-08-26 s.d. 2026-09-22
Net foreign flow, full data window	Rp95.9bn	2026-06-26 s.d. 2026-09-22
Consecutive sessions of same foreign direction	1 net-sell sessions	-

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Business quality, liquidity limits and model value are kept separate: the first explains the basis of the drivers, the second limits how institutional investors can use this research, and neither changes value outside the model's drivers.

Exhibit 15. Business quality

Dimension	Assessment	Model impact	Source
Competitive position	Third-party loans at 30 June 2026 are led by the micro segment at Rp644.4tn (46%), with retail at Rp524.3tn and corporate at Rp223.8tn; CASA ratio 67.6% and cost of funds 2.4% per management.	High NIM and low funding costs are reflected in the NIM driver of 7.5% (1H26) and cost of funds of 3.0% (model definition); no advantage beyond these figures is claimed.	PT Bank Rakyat Indonesia (Persero) Tbk Laporan Keuangan Konsolidasian Interim 30 Juni 2026 (2026-08-31, PDF 195 (loans by segment)); Earnings call transcript: Bank Rakyat Indonesia posts strong H1 2026 profit growth (Investing.com) (2026-08-31, 1H26 results)
Customer and supplier concentration	unanswered: not yet reviewed; the business-quality file holds no dated evidence for this dimension	-	-
Pricing power	unanswered: not yet reviewed; the business-quality file holds no dated evidence for this dimension	-	-
Cyclicality	Asset quality: consolidated NPL of 2.9% and loan-at-risk of 9.1% in 1H26; gross cost of credit 3.1% (guidance).	Cost of credit is the driver value is most sensitive to (± 20 bp = $\pm$ Rp167/share).	Earnings call transcript: Bank Rakyat Indonesia posts strong H1 2026 profit growth (Investing.com) (2026-08-31, 1H26 results and guidance)
Management capital allocation	Payout of about 70% of 2026 profit and 50-60% over the medium term; a medium-term CAR target of at least 20%; a share buyback running since 2025.	A payout path of 70% then 60% and the 14% regulatory capital floor in the model; management's 20% CAR target is shown as a warning.	Earnings call transcript: Bank Rakyat Indonesia posts strong H1 2026 profit growth (Investing.com) (2026-08-31, capital and dividend guidance); PT Bank Rakyat Indonesia (Persero) Tbk Laporan Keuangan Konsolidasian Interim 30 Juni 2026 (2026-08-31, PDF 39 (Note 1d, treasury shares))
Ownership and control	PT Danantara Asset Management (Persero) holds 52.66% in Series B shares and the Republic of Indonesia 1 Series A Dwiwarna share (0.53% together); public 46.23%.	State control shapes dividend policy and programme lending; no valuation discount beyond the drivers.	PT Bank Rakyat Indonesia (Persero) Tbk Laporan Keuangan Konsolidasian Interim 30 Juni 2026 (2026-08-31, PDF 289 (Note 31a, shareholders))
Related-party exposure	unanswered: not yet reviewed; the business-quality file holds no dated evidence for this dimension	-	-
Governance	unanswered: the Sektoral Team has not yet set an acceptable dated source for governance assessments (decision D8, 2026-09-26)	-	-

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Exhibit 16. Liquidity and investability

Measure	Value
Observation window	60 sessions, 2026-06-29 to 2026-09-22 (Sectors daily data, BBRI (closing price x volume))
Median / average daily value traded	Rp599.2bn / Rp659.8bn
Sessions without volume	0
Free float	not available: the public share is not in the ownership data
Listing board	Main (Sectors issuer profile)
Trading status	not available: suspension status and special notations are not in the data; normal trading is not assumed
Illustrative Rp10bn position	about 0.1 trading days at 20% participation in the median traded value
Illustrative Rp50bn position	about 0.4 trading days at 20% participation in the median traded value
Illustrative Rp100bn position	about 0.8 trading days at 20% participation in the median traded value

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

8. Target Price based on DDM

We set the Target Price at Rp3,960 using DDM, the Primary Method for banks: FY26F-FY30F scenario parent profit; scenario payout FY26F-FY30F 70.0%/60.0%/60.0%/60.0%/60.0%; terminal payout 60.0%. DPS of Rp289 to Rp333 is discounted at a CoE of 10.9% (not WACC) to 2026-06-30; the Gordon terminal value at g 3.5% is 71.8% of value. At CoE +1pp and g 2.5% the value is Rp3,220. The target implies a FY26F-FY28F net profit CAGR of 8.2%, supported by a revenue CAGR of 7.5% and a net profit margin moving from 28.0% to 28.4%. Nearest positive catalyst: Completion of Rp90.37 billion buyback programme. At the Target Price the stock trades on a FY26F PER of 9.6x (current price 7.6x), against a peer median of 7.6x and a historical P/E band mean of 8.8x.

Exhibit 17. Bank driver model FY26F: 1H26 actual and modelled H2

Rp bn	1H26 actual	Modelled H2	FY26F
Net interest income	80,530.4	85,170.7	165,701.2
Non-interest income	27,388.8	28,958.0	56,346.9
Operating expenses	42,386.5*	47,934.1	90,320.6
Provisions	25,531.5*	25,538.2	51,069.7
Profit before tax	40,001.2*	40,656.5	80,657.7
Net profit	31,182.6	31,693.4	62,876.0
Net profit to parent	30,865.4	31,371.0	62,236.4
H2 driver	official actuals	NIM 7.5%; CIR 42.0%; cost of credit 3.1%; non-interest/NII 34.0% input loan growth 9.0%; effective FY 9.0%; FY NIM 7.5%	

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Exhibit 18. Dividend projection and present value (DDM, FY26F-FY30F)

Rp	FY26F	FY27F	FY28F	FY29F	FY30F
Net profit to parent (Rp bn)	62,236.4	65,774.0	72,876.2	77,314.3	83,619.2
Payout ratio	70.0%	60.0%	60.0%	60.0%	60.0%
DPS (Rp)	289	262	290	308	333
DPS growth	(16.4%)	(9.4%)	10.8%	6.1%	8.2%
Time to receipt (years)	0.75	1.75	2.76	3.75	4.75
Discount factor (CoE 10.9%)	0.925	0.834	0.752	0.678	0.612
PV DPS (Rp)	267	218	218	209	204

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Exhibit 19. Terminal value and value per share (DDM)

Component	Value
Sum of PV of explicit DPS (Rp)	1,117
DPS terminal = EPS FY30F x (1 + g) x payout terminal 60.0% (Rp)	345
Terminal growth g	3.5%
Terminal value = terminal DPS / (CoE - g) (Rp)	4,657
PV of terminal value (Rp)	2,848
Terminal share of value	71.8%
Value per share (Rp)	3,960
CoE implied by price Rp3,140 (2026-09-24)	12.9%
Silang cek Inverse CoE: ROAE FY26F	18.9%
P/BV wajar = (ROAE - g) / (CoE - g)	2.08x
BVPS FY26F (Rp)	2,218
Inverse CoE value per share (Rp, silang cek)	4,620

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Exhibit 20. Valuation by year (FY26F-FY30F)

Rp	FY26F	FY27F	FY28F	FY29F	FY30F
Net profit to parent (Rp bn)	62,236.4	65,774.0	72,876.2	77,314.3	83,619.2
EPS (Rp)	413	437	484	513	555
BVPS (Rp)	2,218	2,365	2,587	2,810	3,057
DPS (Rp)	289	262	290	308	333
ROE (%)	18.9%	19.1%	19.5%	19.0%	18.9%
PER at price (x)	7.6x	7.2x	6.5x	6.1x	5.7x
PER at target (x)	9.6x	9.1x	8.2x	7.7x	7.1x
PBV at price (x)	1.4x	1.3x	1.2x	1.1x	1.0x
PBV at target (x)	1.8x	1.7x	1.5x	1.4x	1.3x
Dividend yield at price (%)	9.2%	8.3%	9.2%	9.8%	10.6%

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Exhibit 21. DDM value sensitivity: CoE x terminal growth

Cost of equity	g 2.5%	g 3.5%	g 4.5%
CoE 9.9%	Rp4,090	Rp4,580	Rp5,250
CoE 10.4%	Rp3,830	Rp4,250	Rp4,810
CoE 10.9% (base)	Rp3,600	Rp3,960	Rp4,440
CoE 11.4%	Rp3,400	Rp3,710	Rp4,120
CoE 11.9%	Rp3,220	Rp3,490	Rp3,850

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Exhibit 22. Bank Driver Scenario FY26F-FY30F

Year	Loan growth (input)	Loan growth (effective)	NIM	Cost of credit	CIR	Parent net profit	ROE	CAR*	Base
FY26F	9.0%	9.0%	7.5%	3.1%	42.0%	62,236.4	18.9%	20.0%	No loan constraint binds this year. Assumption source: PT Bank Rakyat Indonesia (Persero) Tbk Laporan Keuangan Konsolidasian 30 Juni 2026.
FY27F	9.0%	9.0%	7.4%	3.0%	42.0%	65,774.0	19.1%	19.6%	No loan constraint binds this year.
FY28F	8.5%	8.5%	7.4%	2.9%	42.0%	72,876.2	19.5%	19.7%	No loan constraint binds this year.
FY29F	8.0%	8.0%	7.3%	2.9%	42.0%	77,314.3	19.0%	19.8%	No loan constraint binds this year.
FY30F	8.0%	8.0%	7.3%	2.9%	42.0%	83,619.2	18.9%	20.0%	No loan constraint binds this year.

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Exhibit 23. Sektoral Target Price and analyst consensus

Note	Value
Sektoral Target Price	Buy Rp3,960
Analyst consensus	not available: consensus retrieved 2026-09-25, after the Report Date; not used (no data after the Report Date)

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Exhibit 24. Valuation Method Chain

Method	Decision	Value/ share	Rationale
1. DDM (primary)	Selected	Rp3,960	forward drivers (loan growth, NIM, non-interest income, CIR, cost of credit) are management guidance for the first year and labelled Analyst Assumptions after it; not yet Production-Ready: house-assumption policy became effective after the Report Date
2. P/BV-ROE	Not run	-	house-assumption policy became effective after the Report Date
3. Scenario FY P/BV-ROE	Cross-check	Rp4,540	FY ROE from the analyst earnings scenario (1H actuals + H2 assumptions) over the latest parent equity, not a reconciled driver forecast; CAPM CoE and long-term growth are analyst policy parameters tested in the sensitivity table
4. Relative PER	Not run	-	house-assumption policy became effective after the Report Date
5. Scenario FY PER	Cross-check	Rp3,150	FY EPS is an Analyst Scenario from 1H actuals + H2 assumptions, not a reconciled driver forecast; TTM peer PER from Sectors data; peers taken as comparable; cash flow, capex and the balance sheet after the interim period are not yet modelled

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

9. Drivers and value scenarios

Each material driver is moved across its tested range and revalued with an independent reference calculation; the downside and upside cases move all drivers together. No probability is assigned to the cases.

Exhibit 25. Material drivers and their effect on value

Driver	Base	Year	Base value	Test range	Δ FY1 parent net profit (Rp bn) down / up	Δ value per share down / up
Cost of credit	Analyst Assumption / issuer guidance	FY26F-FY30F	3.1/3/2.9/2.9/2.9%	±20 bp	-1,284.8 / 1,284.8	-Rp167 / +Rp167
Loan growth	Analyst Assumption / issuer guidance	FY26F-FY30F	9/9/8.5/8/8%	±1 pp	-113.6 / 113.6	-Rp116 / +Rp119
Cost-to-income ratio	Analyst Assumption / issuer guidance	FY26F-FY30F	42/42/42/42/42%	±1 pp	-889.8 / 890.1	-Rp113 / +Rp113
Non-interest income / NII	Analyst Assumption / sourced	FY26F-FY30F	34/34/34/34/34%	±2 pp	-770.3 / 770.5	-Rp98 / +Rp98
NIM	Analyst Assumption / sourced	FY26F-FY30F	7.5/7.4/7.4/7.3/7.3%	±10 bp	-688.1 / 688.3	-Rp89 / +Rp90

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Exhibit 26. Base, downside and upside cases from one model

Case	Value per share	Vs price	FY1 parent net profit (Rp bn)	Driver change
Down	Rp3,400	+8.3%	58,541.6	every driver at the adverse end of its tested range
Base	Rp3,960	+26.1%	62,236.4	base drivers
Up	Rp4,570	+45.5%	66,036.3	every driver at the favourable end of its tested range

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

10. Cross-checks and further evidence

The Target Price is built with scenario dividend DDM FY26F-FY30F + Gordon terminal (CoE, not WACC) on the scenario shown. The following table records cross-checks, unverified assumptions and evidence that could change the result; the scenario is not company guidance.

Exhibit 27. Further evidence to test the Target Price

Check	Evidence required
Official interim results	Available: 1H26
Operating forecast	Needs reconciled projections of earnings, loans, NIM, asset quality, cost of credit and capital.
Valuation	Needs a DDM reconciled with payout, capital needs and CoE/g sensitivity.
Method Chain	value basis DDM.
Release decision	The value scenario uses DDM; review the evidence limits in the tables and method notes before using it.

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

11. Value scenarios

The main driver of this bank's valuation is the ROE trajectory, not cash flow: historical ROAE of 19.0% eases to 18.4% forward if FY26F earnings are delivered. Scenario DDM gives Rp3,960/share; scenario payout FY26F-FY30F 70.0%/60.0%/60.0%/60.0%/60.0%; terminal payout 60.0%. Inverse CoE cross-check Rp4,620/share (fair P/BV 2.08x). Historical DPS 2020-2026 in Sectors data.

Exhibit 28. Cost of Equity components

Component	Value
Jalur CAPM:	
IDR risk-free rate (house policy)	6.5%
Beta (analyst policy)	1.1x
Equity risk premium (analyst policy)	4.0%
(=) Cost of Equity applied	10.9%
Jalur band (pola rentang CoE):	
5-year mean CoE	n.a. (no CoE history in Sectors data)
5-year CoE SD	n.a. (no CoE history in Sectors data)
Offset from mean	n.a.: CAPM result used

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Exhibit 29. Discount-rate parameters: policy vs benchmarks

Parameter	Policy	Benchmark	Source, date
Risk-free IDR (house policy)	6.5%	7.01% (close of 23 September 2026); less the default spread of 1.62% = 5.39% rupiah risk-free	Investing.com, 23 Sep 2026 + Damodaran, 5 Jan 2026
Beta	1.10	0.99 (Blume; regression 0.98, 112 weekly returns against the JCI since 2024-07-26)	Sektoral regression, IDX prices to 2026-09-23
Equity risk premium (no separate CRP)	4.0%	6.69% total Indonesia ERP = 4.23% implied S&P 500 ERP, early 2026 + 2.46% CRP	Damodaran, Jan 2026 + Damodaran, 5 Jan 2026
Terminal growth g (Rp)	3.5%	7.8% nominal GDP, Indonesia 2031 (real 5.2%, inflation 2.5%)	IMF WEO Apr 2026
Cost of equity (CAPM)	10.9%	12.0% on the benchmark inputs (+109 bp); memo	rows above

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

12. Peer comparison

The peer group has 10 issuers with market capitalisations of Rp28,622bn to Rp759,713bn. BBRI's P/E of 7.9x compares with a peer median of 7.6x, while its ROE ranks 3 of 10.

Own-history P/E and P/BV bands are a mean-reversion cross-check on the issuer's own history, not a Target Price: the implied price holds the fundamental drivers (latest EPS and BVPS) constant and lets only the multiple revert to its mean or median.

Exhibit 30. Peer comparison: Banks

Issuer	Mkt cap (Rp bn)	P/E (x)	P/B (x)	ROE	Net margin	Liabilities/equity (x)
Bank Central Asia (BBCA)	759,713	13.1x	2.8x	20.4%	51.4%	4.6x
Bank Rakyat Indonesia (BBRI) (issuer)	495,143	7.9x	1.5x	17.1%	31.2%	5.5x
Bank Mandiri (BMRI)	388,080	5.5x	1.4x	17.2%	41.9%	7.6x
Bank Negara Indonesia (BBNI)	133,666	6.4x	0.8x	11.4%	31.3%	6.7x
Bank Permata (BNLI)	74,863	20.4x	1.7x	7.8%	28.6%	4.9x
Bank Syariah Indonesia (BRIS)	72,155	9.0x	1.4x	14.6%	29.0%	7.8x
Bank Mega (MEGA)	45,564	13.9x	2.0x	13.4%	43.6%	4.6x
Bank CIMB Niaga (BNGA)	43,683	6.4x	0.8x	11.8%	40.0%	5.4x
Bank Danamon Indonesia (BDMN)	43,057	7.6x	0.8x	6.8%	17.5%	3.8x
Bank OCBC NISP (NISP)	28,622	5.5x	0.6x	11.5%	39.0%	6.0x
Peer median (excl. issuer)	72,155	7.6x	1.4x	11.8%	39.0%	5.4x
Peer average (excl. issuer)	176,600	9.8x	1.4x	12.8%	35.8%	5.7x
BBRI rank	2/10	5/10	4/10	3/10	7/10	5/10

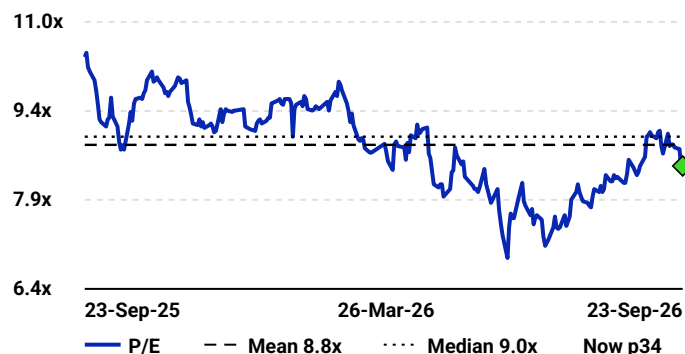
Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Exhibit 31. 12M historical P/E and P/BV bands (not a Target Price)

Multiple	Mean	Median	Current (percentile)	Implied at mean / median
P/E	8.8x	9.0x	8.5x (p34)	Rp3,330 / Rp3,380
P/BV	1.6x	1.7x	1.5x (p33)	Rp3,530 / Rp3,630

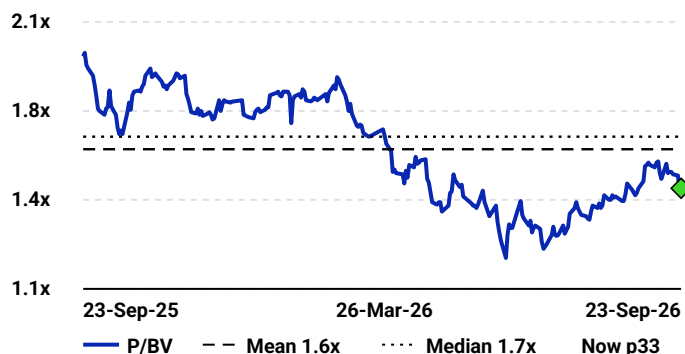
Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Exhibit 32. 12M P/E band, BBRI



Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Exhibit 33. 12M P/BV band, BBRI



Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

13. Financial data

Financial statements 2024A-FY28F: two actual years from Sectors data and the first three years of the five-year forecast model (analyst scenario, bank driver model). Forecast net profit, dividends and equity match Key Financials, the performance charts and the valuation exhibits for the same years; lines that cannot be derived read n.m., with the reason in the table note.

Exhibit 34. Bank income statement

Rp bn	2024A	2025A	FY26F	FY27F	FY28F
Interest income	199,266	207,783	220,643	237,745	258,363
Interest expense	(57,209)	(57,285)	(54,942)	(61,365)	(66,727)
Net interest income	142,057	150,498	165,701	176,381	191,635
Non-interest income	54,358	29,508	56,347	59,969	65,156
Operating expenses	(82,913)	(88,447)	(90,321)	(99,267)	(107,852)
Pre-provision operating profit (PPOP)	116,752	92,857	131,727	137,083	148,939
Provisions and reserves	(38,174)	(46,182)	(51,070)	(51,841)	(54,492)
Operating profit	78,578	46,675	80,658	85,242	94,447
Non-operating income (expense)	(979)	26,117	n.m.	n.m.	n.m.
Profit before tax	77,599	72,793	80,658	85,242	94,447
Income tax	(16,955)	(15,660)	(17,782)	(18,792)	(20,822)
Consolidated net profit	60,644	57,132	62,876	66,450	73,625
Non-controlling interests	(489)	(480)	(640)	(676)	(749)
Net profit	60,155	56,652	62,236	65,774	72,876

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

n.m. in Non-operating income (expense) (FY26F-FY28F columns): The model's non-interest income covers all income between NII and pre-tax profit (fees, net premiums and non-operating items), so non-operating items are not separated.

Exhibit 35. Bank balance sheet

Rp bn	2024A	2025A	FY26F	FY27F	FY28F
Gross loans	1,348,207	1,517,080	1,653,617	1,802,442	1,955,650
Loan loss reserves	(80,898)	(82,894)	(86,383)	(94,157)	(102,161)
Net loans	1,267,310	1,434,190	1,567,234	1,708,285	1,853,489
Government bonds	n.m.	n.m.	n.m.	n.m.	n.m.
Securities	n.m.	n.m.	n.m.	n.m.	n.m.
Total earning assets	1,877,540	2,009,415	2,284,361	2,482,689	2,696,647
Non-earning assets (cash, fixed assets, other)	190,078	208,849	182,187	197,982	215,053
Total assets	1,986,720	2,135,370	2,380,166	2,586,514	2,809,540
Current accounts	374,554	448,204	452,848	493,604	535,561
Savings accounts	544,427	587,586	623,620	679,746	737,524
Time deposits	446,469	431,054	515,754	562,172	609,957
Third-party funds	1,365,450	1,466,840	1,592,222	1,735,522	1,883,042
Other interest-bearing liabilities	200,597	230,289	339,424	369,973	401,420
Non-interest-bearing liabilities	103,747	107,297	106,834	116,449	126,347
Total liabilities	1,669,790	1,804,430	2,038,481	2,221,944	2,410,809
Total equity	316,921	330,941	341,685	364,570	398,730
Total liabilities and equity	1,986,711	2,135,371	2,380,166	2,586,514	2,809,540

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

n.m. in Government bonds, Securities (actual columns): Sectors does not separate government bonds and securities; Government bonds, Securities (FY26F-FY28F columns): The bank driver model projects earning assets other than loans as one funding balancing item, without splitting it into government bonds, securities and placements.

Exhibit 36. Cash flow

Rp bn	2024A	2025A	FY26F	FY27F	FY28F
Operating cash flow					
Net profit	60,155	56,652	62,236	65,774	72,876
Depreciation and amortisation	5,843	5,869	n.m.	n.m.	n.m.
Other operating items	(41,715)	(47,905)	n.m.	n.m.	n.m.
Net operating cash flow	24,283	14,617	n.m.	n.m.	n.m.
Investing cash flow					
Net investing cash flow	(188)	(46,091)	n.m.	n.m.	n.m.
Financing cash flow					
Dividends paid	n.m.	n.m.	(52,132)	(43,566)	(39,464)
Net financing cash flow	(37,462)	(42,620)	n.m.	n.m.	n.m.
Cash balance					
Net change in cash	(13,367)	(74,094)	n.m.	n.m.	n.m.
Opening cash	31,604	29,784	32,044	n.m.	n.m.
FX effect and cash-definition difference (source data)	11,547	76,355	n.m.	n.m.	n.m.
Closing cash	29,784	32,044	n.m.	n.m.	n.m.

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

n.m. in Dividends paid (actual columns): Sectors carries only total financing cash flow, without a breakdown; Depreciation and amortisation (FY26F-FY28F columns): EBITDA, EBIT and D&A are not meaningful for a bank; the bank driver model derives operating expenses from the cost-to-income ratio without splitting them by type; Other operating items (FY26F-FY28F columns): Capex, working capital and FCFF are not used for a financial institution; Net operating cash flow, Net investing cash flow, Net financing cash flow, Net change in cash, Opening cash, FX effect and cash-definition difference (source data), Closing cash (FY26F-FY28F columns): The bank's cash flow is not projected: the DDM values dividends, and cash is among the non-earning assets the bank driver model holds at their historical share of total assets.

Exhibit 37. Key ratios

Ratio	2024A	2025A	FY26F	FY27F	FY28F
Interest income (%)					
Earning-asset yield	10.9%	10.7%	10.0%	10.0%	10.0%
Cost of funds	3.7%	3.5%	3.0%	3.0%	3.0%
Interest spread	7.2%	7.2%	6.9%	6.9%	6.9%
Net interest margin (NIM)	7.7%	7.7%	7.5%	7.4%	7.4%
Efficiency and asset quality (%)					
Cost-to-income ratio	42.2%	49.1%	40.7%	42.0%	42.0%
Gross NPL ratio	n.m.	n.m.	n.m.	n.m.	n.m.
NPL coverage	n.m.	n.m.	n.m.	n.m.	n.m.
Cost of credit (provisions / average loans)	3.0%	3.2%	3.2%	3.0%	2.9%
Liquidity, profitability and capital (%)					
Loan-to-deposit ratio (LDR)	92.8%	97.8%	98.4%	98.4%	98.4%
CASA ratio	67.3%	70.6%	67.6%	67.6%	67.6%
ROAE	19.0%	17.5%	18.5%	18.6%	19.1%
ROAA	3.0%	2.7%	2.8%	2.6%	2.7%
Capital adequacy ratio (CAR)	26.6%	21.1%	20.0%	19.6%	19.7%
Dividends and book value (%)					
Dividend payout ratio	n.m.	n.m.	70.0%	60.0%	60.0%
BVPS growth	0.2%	4.4%	1.0%	6.6%	9.4%

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

n.m. in Gross NPL ratio, NPL coverage (actual columns): Sectors carries no non-performing loans (NPL); Dividend payout ratio (actual columns): Sectors carries no annual dividends in the historical financial statements; Gross NPL ratio, NPL coverage (FY26F-FY28F columns): The bank driver model uses the cost of credit as the asset-quality driver; Sectors data do not carry non-performing loans, so NPLs and allowance coverage of NPLs are not projected.

Exhibit 38. Financial statement projection assumptions**Assumption and source**

Analyst Scenario (bank driver model): FY26F-FY30F from official 1H26 actuals plus H2 and 4 out-years from analyst drivers; Key Financials and the DDM use the same profit, dividends and equity.

Sourced bank model: FY26F = official 1H26 actuals (NII, other income, operating expenses, provisions, tax and profit from the income statement) + model H2; opening balances and balance-sheet ratios (allowance coverage, LDR, deposit mix, other interest-bearing liabilities, loan share of earning assets, capital-to-equity ratio and RWA per loan) from the official 31 December and 30 June balance sheets, one definition for both dates.

Model mechanics: NII = NIM x average earning assets; cost of credit on average gross loans; operating expenses = CIR x revenue; earning assets other than loans balance the balance sheet; parent equity = opening balance + parent profit - dividends; dividends in year t = payout x parent profit of year t-1.

Tax 22.0% (official 1H26 effective rate); cost of funds 3.0% to split interest income and expense.

Capital floor: CAR 14.0% (risk-profile minimum CAR 9% + capital conservation buffer 2.5% + countercyclical buffer 0% + D-SIB capital surcharge 2.5% (Note 49a)); a year that would fall below it cuts the payout first, then loan growth.

Payout on each forecast year's profit: FY26F 70.0%, FY27F 60.0%, FY28F 60.0%, FY29F 60.0%, FY30F 60.0%.

FY26F drivers: loan_growth_pct: Midpoint of 8-10% guidance; gross loans at 30 June 2026 already +8.2% ytd.; nim_pct: 1H26 NIM on the driver file's earning-asset definition (NII x 2 / average earning assets), within 7.4-7.8% guidance.; non_ii_to_nii_pct: Official 1H26 other income to NII.; cost_to_income_pct: Midpoint of 41-43% CIR guidance; 1H26 actual 39.3% on the model definition.; cost_of_credit_pct: Cost of credit guidance 3.1%; 1H26 3.2% on provisions / average gross loans.

FY27F drivers: loan_growth_pct: In line with 2026 guidance and long-term nominal GDP growth of about 7.8% plus credit deepening.; nim_pct: Low end of NIM guidance as funding costs normalise.; non_ii_to_nii_pct: Held at the 1H26 actual.; cost_to_income_pct: Held at the guidance midpoint.; cost_of_credit_pct: Slightly below 2026 guidance as asset quality improves (1H26 net cost of credit 1.89%).

FY28F drivers: loan_growth_pct: Easing gradually towards nominal growth.; nim_pct: Low end of guidance.; non_ii_to_nii_pct: Unchanged.; cost_to_income_pct: Unchanged.; cost_of_credit_pct: Gradual normalisation.

FY29F drivers: loan_growth_pct: Towards nominal growth.; nim_pct: Gradual margin compression.; non_ii_to_nii_pct: Unchanged.; cost_to_income_pct: Unchanged.; cost_of_credit_pct: Unchanged.

FY30F drivers: loan_growth_pct: Nominal growth.; nim_pct: Unchanged.; non_ii_to_nii_pct: Unchanged.; cost_to_income_pct: Unchanged.; cost_of_credit_pct: Unchanged.

Valuation assumption: share count 150.67bn shares (official share register at 2026-09-24, adjusted for corporate actions to 2026-09-24), flat.

Model note: CAR below management's medium-term target (20.0%), above the regulatory floor: FY26F 20.0%, FY27F 19.6%, FY28F 19.7%, FY29F 19.8%, FY30F 20.0%.

Model note: LDR above its historical Sectors record (97.8%): FY26F 98.4%, FY27F 98.4%, FY28F 98.4%, FY29F 98.4%, FY30F 98.4%; loans grow faster than scenario funding.

Earnings normalisation 1H26: no one-off items; FY26F core profit equals reported profit.

FY26 weighted share count (PSAK 56) 150.65bn shares, using the issuer's 1H weighted figure; recorded to reconcile the issuer's annual EPS, while model EPS uses the share count at the Report Date.

Source: Sectors (market and financial data), issuer disclosures; Sektoral analysis and estimates.

Disclosures

INFORMATION, NOT INVESTMENT ADVICE. This report is the output of an information and analysis tool built on Sectors Financial API (sectors.app) and IDX data. The Rating and Target Price are conditional model outputs of the stated assumptions and sources, not a recommendation or investment advice. Investment decisions are the reader's sole responsibility; do independent research and consult a licensed financial advisor. Past performance does not guarantee future results.

Methodology notes

- Rating and Target Price use DDM, the Primary Method for banks: $DPS = \text{parent profit in the Analyst Scenario FY26F-FY30F; scenario payout FY26F-FY30F } 70.0\%/60.0\%/60.0\%/60.0\%/60.0\%$; terminal payout 60.0% (basis last 12 months' DPS of Rp346.0 over FY2025 EPS of Rp376.0 (Sectors data)), discounted at the Cost of Equity, Gordon terminal.
- FY26F profit comes from official 1H actuals and an H2 bank driver model; later years from analyst-assumed annual bank drivers (loans, NIM, non-interest income, cost ratio, cost of credit), with the balance sheet, funding and capital at the issuer's historical ratios (screening). This scenario is not a reconciled driver forecast, so its status is Assumption-Led.
- CoE of 10.9% from CAPM (IDR rf per house policy, beta and a 4% ERP as analyst policy); g 3.5%. Valuation date 2026-06-30; dividends are received one quarter after the financial year. At the Rp3,140 price, the same dividend path implies a CoE of 12.9%; the target assumes the market accepts the policy CoE of 10.9%.
- Scenario FY P/BV-ROE and FY PER are cross-checks in the Method Chain, not averaged into the target.
- A dash (-) means the figure is not available, not zero.
- Rebuilt on 2026-10-06 from evidence as of the Report Date, 2026-09-24; references dated after the Report Date are policies in force at the rebuild.